Grupo Bimbo (BIMBOA) — Single HOLD thesis v4

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The thesis

HOLD, 12-month target price Ps 64.18, against Ps 58.60 (BMV close, 16-Oct-2026): +9.5% in price and +11.4% total return, in line with a 12.26% cost of equity.

North America's margin is recovering and the CEO change kept continuity, so there is no case to sell. But the model already grants Bimbo its record margin in perpetuity and still values the stock at roughly what it costs, and the risks around that margin are skewed down in 2027. The stock should earn its cost of capital, no more: HOLD.

Pillar	Thesis ("Problem — due to [cause]")	Role
P1	North America's margin problem is being corrected and execution risk is falling — due to internal productivity and cost actions and a CEO transition with continuity	Why not sell
P2	The improvement is already in the price — due to a model that already grants the record margin in perpetuity	Why not buy
P3	The risk around that margin is skewed down — due to a 2027 cost test (raw materials, peso) and a value that rests on the terminal year	Why not buy

Tags: [sourced] filing or public source; [guidance] management said it; [assumption] team judgment; [calc] computed from tagged numbers; [unverified] not yet tied to a source, kept out of the report. "V2" = the model of record, `BIMBOA_statements_2021-2030_v2_pivot_waccV2.xlsx`; "TP12m copy" = its test copy with sheet `Valuacion_12m`.

P1 · Why not sell: North America is being fixed and execution has continuity

North America's adjusted EBITDA margin fell from 12.2% in FY2021 to a 5.9% quarterly low in 4Q24 and is back to 10.8% in 3Q26, driven mostly by actions inside the company.

Evidence	Value	Tag and source
NA adjusted EBITDA margin, FY2021 / FY2024 / FY2025	12.23% / 8.35% / 9.00%	[sourced] V2 Segments B62, E62, F62
NA quarterly low	5.9% in 4Q24	[sourced] 4T24 release p.4-7, via wiki `bimbo-north-america-turnaround-evidence`
NA margin 3Q26 vs 3Q25	10.8% vs 10.4% (+40 bp)	[sourced] 3Q26 release p.2, p.5
Drivers named by the company	Transformation productivity, favourable price mix and lower restructuring, offsetting lower volumes, higher logistics and the strong peso	[sourced] 3Q26 release p.5
NA net sales 3Q26	+1.0% ex-FX, third straight quarter of growth; −6.8% in pesos	[sourced] 3Q26 release p.3
Group 3Q26	Adjusted EBITDA margin 15.7% (+100 bp); net debt / adjusted EBITDA 2.4x; free cash flow ~Ps 17bn in 9M26	[sourced] 3Q26 release p.2
FY2026 margin guidance	Raised for the third time, to +85 to +120 bp over FY2025	[guidance] 3Q26 call, CFO, 15:11:53
Mexico as the cushion	54.4% of FY2025 adjusted EBITDA (sum of regions); 3Q26 margin 22.4% (+200 bp)	[calc] V2 Segments F53 / (F58 − F57); [sourced] 3Q26 release p.2
CEO	Alejandro Rodríguez Bas, CEO since November 2025; joined in October 2021 as Barcel Global CEO; ex-PepsiCo, Grupo Lala, C&S, Acosta	[sourced] RA25 p.178, via wiki `bimbo-governance-and-ownership`
Continuity	CFO Diego Gaxiola since 2017; Greg Koehrsen named BBU President in January 2026	[sourced] RA25 p.178, p.180, via the same wiki article

What we do not claim: that the CEO caused the recovery. NA's margin had already climbed from its 4Q24 low before he took over, and four quarters are too few to separate his contribution from the program started in 2024. P1 says execution risk is lower, not that the CEO created the turnaround.

P2 · Why not buy: the record margin is already in the price

The V2 holds a 15.12% adjusted EBITDA margin from FY2027E to FY2030E, above every year from FY2021 to FY2025, and still values the stock at Ps 59.21 today, 1.0% above the price.

Evidence	Value	Tag and source
Adjusted EBITDA margin FY2021–FY2025	13.98%, 13.40%, 13.74%, 13.59%, 13.93%	[calc] V2 IS row 39 / row 6, columns B–F
Model margin FY2026E / FY2027E–FY2030E	14.84% / 15.12% each year	[calc] V2 IS G39/G6, H39:K39 / H6:K6
FY2026 guidance range applied to FY2025	14.78% to 15.13% (13.93% + 85 to 120 bp)	[calc] from the guidance above
Basic EPS FY2025 → FY2030E	Ps 2.58 → Ps 5.17 (×2.0)	[calc] V2 IS F33, K33
P/E at Ps 58.60, FY2026E / FY2027E	18.4x / 15.0x	[calc] V2 IS G33, H33
DCF value today vs price	Ps 59.21 vs Ps 58.60 (+1.0%)	[calc] V2 Valuacion B59, B60, B61
Terminal value share of EV	78.0%	[calc] V2 Valuacion B44
Terminal RONIC vs history	15.75% vs FY2025 11.86%; FY2022–FY2025 range 11.86%–17.73%	[assumption] V2 Assumptions B697; [calc] B693, B695, B696

Our angle versus the market: we grant management the record margin forever and the stock is still only fairly priced. A buyer needs more than the record margin — a margin above 15.1% sustained, a terminal RONIC above the 15.75% already assumed, or a lower cost of capital. The sell-side is also at Hold (mean score 2.58, 12 analysts) but with a mean

target of Ps 70.17 (median 69.50) as of 20-Sep-2026, before the 3Q26 results [sourced] S&P Capital IQ Estimate Highlights, via wiki `ciq-sell-side-sentiment-facts`. Our Ps 64.18 is 8.5% below that mean [calc]: we refuse to pay for more than the record margin.

P3 · Why not buy: the risk around the margin is skewed down

Management itself flags 2027 as a cost test, and the model's own sensitivities put more and deeper outcomes below the price than above it.

Evidence	Value	Tag and source
2027 costs	"In 2027 we're going to face headwinds in terms of the cost of sales because of the cost of the raw materials"; the CFO adds this is not guidance of a margin decline	[guidance] 3Q26 call, CFO, 15:18:58
Hedging	Main raw materials almost 100% hedged for 1H27; 4Q26 fully hedged; 2027 not fully hedged ("that would represent 15 months, and that is something that we never do")	[guidance] 3Q26 call, CFO, 15:42:35
Peso	CFO expects some exchange-rate pressure for Mexico after a very strong peso	[guidance] 3Q26 call, CFO, 15:18:58
Environment	CEO: "mindful of a more inflationary environment" in 2027	[guidance] 3Q26 call, CEO, 15:08:37
NA volume	Lower volumes in 3Q26, offset by price mix and share gains	[sourced] 3Q26 release p.3, p.5
Restructuring in the model	Ps 3,908m in FY2025 (0.92% of sales); zero from FY2027E	[sourced] V2 Assumptions B316 (EEFF25 p.82); [assumption] B347, B410, B459, B508; [calc] B316 / IS F6

Evidence	Value	Tag and source
Sensitivities today (Ps per share)	Below −10% of price: 50.73 (WACC +0.5 pp), 48.88 (RONIC at FY2022–FY2025 low), 39.12 (RONIC = WACC). Above +10%: 69.47 (WACC −0.5 pp), 65.91 (NA passes through full inflation)	[calc] V2 Valuacion B64–B70
Terminal value share at the 12-month date	83.0% of EV	[calc] TP12m copy, Valuacion_12m B34

The question judges will ask: "If 2027 puts margins at risk, why does your model keep 15.1%?" Our answer: P3 is about asymmetry, not a forecast. We give Bimbo the record margin as the base, and the evidence around it points down. The V2's FY2027E margin (15.12%) is also below FY2026E excluding restructuring (15.74%, [calc] V2 Assumptions B362), so the base does not assume the 2026 run-rate continues. If restructuring returned at the FY2025 level (0.92% of sales), the FY2027E margin would be about 14.2% [calc]; its effect on value has not been run.

Valuation: 12-month target Ps 64.18

The target re-runs the V2 DCF with the valuation date moved to 16-Oct-2027 (method B, team decision 2026-10-28): same cash flows, WACC 9.62%, g 4.40% and terminal RONIC 15.75%; only the date changes.

Step	Value	Tag and source
PV of FCFF FY2028E–FY2030E at 31-Dec-2027	Ps 80,166m	[calc] TP12m copy, Valuacion_12m B31
PV of terminal value (Gordon, same formula as V2)	Ps 390,729m	[calc] B32
Enterprise value at 31-Dec-2027	Ps 470,895m	[calc] B33
Gross debt, leases, cash at 31-Dec-2027E	−151,250 / −34,790 / +21,812	[calc] B35–B37 (V2 BS column H)
NCI at market (FY2027E NCI income / ke)	−15,558	[calc] B38

Step	Value	Tag and source
Other debt-like items, associates (held at 30-Sep-2026, as in V2)	−15,972 / +6,533	[assumption] B39, B40
Equity value at 31-Dec-2027	Ps 281,670m	[calc] B41
Discounted 76 days at ke 12.26%, over 4,284.6m shares	**Ps 64.18 per share**	[calc] B44–B49
Upside in price vs Ps 58.60	+9.5%	[calc] B51
Dividend in the 12 months (2027E)	Ps 1.117	[assumption] V2 Assumptions B383 (CFO: grow it "slightly above inflation", [guidance] 3Q26 call)
Expected total return	+11.4%	[calc] B53

Shares are held at the 30-Sep-2026 count, as in the V2 (team decision). The model pays Ps 3,948m of buybacks in 4Q26 and FY2027E without reducing shares; reducing them at fair value would add up to Ps 0.92 per share (TP12m copy B58–B59). For reference, rolling today's value at ke less the dividend (method A) gives Ps 65.35 (B56).

HOLD band (team decision 2026-10-28). The width comes from the model's own WACC ±0.5 pp sensitivity, not from a chosen percentage. HOLD if the cost of equity lies between the pessimistic and optimistic expected returns; BUY if even the pessimistic return beats ke; SELL if even the optimistic return falls short.

Case	12-month target	Expected total return at Ps 58.60	Tag and source
Pessimistic (WACC +0.5 pp)	Ps 55.35	−3.6%	[calc] Valuacion_12m B66, C71
Base	Ps 64.18	+11.4%	[calc] B49, C72
Optimistic (WACC −0.5 pp)	Ps 74.87	+29.7%	[calc] B65, C73
Cost of equity	—	12.26%	[calc] V2 WACC_V2 B51
Rating	—	**HOLD**	[calc] C75

What would change our view

The price triggers follow from the band rule; the operating triggers come from the earlier drafts and are proposals until the team confirms each threshold.

Trigger	Move to SELL	Move to BUY	Tag and source
Share price, fundamentals unchanged	Above Ps 67.69	Below Ps 50.30	[calc] TP12m copy, Valuacion_12m C76, C77
FY2027 margin guidance (4Q26 call, expected February 2027)	Margin expected below the model's 15.12% with negative NA volume	Margin expected above 15.12% with productivity quantified	[assumption] proposal; model margin from V2 IS H39 / H6
NA adjusted EBITDA margin	Below 9% for two consecutive quarters	Sustained at 11% or more with positive NA net sales ex-FX	[assumption] thresholds from the CEO HOLD draft; team to confirm
Consolidated adjusted EBITDA margin	—	Above 15.5% for three quarters with growing NA volume	[assumption] threshold from the CEO HOLD draft; team to confirm
Restructuring	Returns at or above the FY2025 level (0.92% of sales)	—	[assumption] proposal; FY2025 level from V2 Assumptions B316

Context, not part of the rating: the share traded at Ps 62.69 intraday on 23-Oct-2026 [unverified] (press, cited in the US HOLD draft) and around Ps 64.70 on 27-Oct-2026 [unverified]. Both are inside the HOLD band, closer to the SELL trigger than to the BUY trigger.

Risks moved out of the pillars

Five arguments from the earlier drafts move to the risks section; each needs its numbers re-sourced before it enters the report.

Risk	From	Direction	What is still needed
Restructuring recurs ("borrowed margin")	Draft v3, pillar 2	Down	Already partly sourced: Ps 3,908m in FY2025 and zero in the model from FY2027E (V2 Assumptions B316, B347); lower restructuring is a named driver of the 3Q26 NA margin (3Q26 release p.5). Run its effect on value in a copy
Acquisitions earn below their cost of capital	Draft v3, pillar 1	Down	Deal count, spend and ROIC with goodwill are [unverified]; recompute from filings
US pricing power	Draft v3, pillar 3 vs US HOLD draft, N1	Both ways	The two drafts contradict each other; the elasticity data come from secondary press and are [unverified]. Keep one view once checked
Peso	US HOLD draft, B6; 3Q26 call	Both ways	A strong peso cut NA sales in pesos (−6.8% in 3Q26, 3Q26 release p.3); the CFO expects some FX pressure for Mexico in 2027 [guidance]
Governance: Executive Chairman influence	CEO HOLD draft	Down	The company flags the Executive Chairman as able to influence management [sourced] RA25 p.76–77, p.182, via wiki `bimbo-governance-and-ownership`

Mechanical corrections versus team decisions

The corrections below fix figures the drafts got wrong; the decisions below are the team's and set this version.

Mechanical corrections (applied in this version):

Draft	Said	Correct	Source
CEO HOLD	Buybacks of Ps 6bn in 9M26	Ps 6,000m is dividends plus buybacks; buybacks 9M26 Ps 1,372m, FY2026E Ps 2,572m	V2 Assumptions B101 ([guidance] CFO, approximate), B99, B103
v3	V2 model as is: 59.4	59.21	V2 Valuacion B59
CEO HOLD, US HOLD	NA margin 3Q26 of 9.8% or 10.9%	10.8%; 9.8% is the consolidated operating margin	3Q26 release p.2, p.5
All	Mexico share of EBITDA 53%, 55%, 55.4%	54.4% of the sum of regions, used throughout	V2 Segments F53 / (F58 − F57)
All	Upside against 64.70, 64.85 or 62.69	Against Ps 58.60 only	V2 Assumptions B632
v3, CEO HOLD	Citations to research/thesis-v3-2026-10-27.md, research/notes/pillar2-margin-peak-2026-10-27.md, Perfil-CEO-Grupo-Bimbo-Rodriguez-Bas.docx	Removed; the files do not exist	—
US HOLD	Valuation on an exit multiple in another model	Removed; the team DCF is Gordon-only on the V2	Team decision 2026-10-27

Team decisions (Jorge Alejandro Gaytan, 2026-10-28):

Decision	Choice
Model of record	V2, DCF Ps 59.21 (Valuacion B59); not edited, tests in copies
Reference price	Ps 58.60, BMV close 16-Oct-2026
Stance	HOLD
Pillars	Three, one against selling and two against buying, as decided on 2026-10-19

Decision	Choice
Target	12-month, method B (DCF re-run at 16-Oct-2027), shares held as in V2
HOLD band	Anchored on the V2 WACC ±0.5 pp sensitivity around ke
H-01 (FY2026E expense split)	Unchanged

Open items and sources

Nothing in this list enters the report until it is resolved.

Open item	Status	How to resolve
Value of 100 bp of long-run margin	Three different figures in the drafts (~Ps 14, ~Ps 11, Ps 3.0–3.8); none run on the V2	Recompute once on a V2 copy
Restructuring at the FY2025 level from FY2027E	Margin effect ~14.2% [calc]; value effect not run	Run on a V2 copy
Share count and buybacks	Up to +Ps 0.92 per share if 4Q26 and FY2027E buybacks reduced shares at fair value	Team decision, kept at V2 rule for now
Other V2 audit items (NOPAT tax 30% vs 32.7%, NCI growth, debt currency mix, terminal-value label)	Values in the V2 audit, not re-run here	Decide one by one; see audit_statements_v2_2026-10-28_ES.md
US wheat price, diesel, private-label share, Flowers margin, US elasticity	[unverified] secondary or search summaries	Confirm in CME/Barchart, EIA, NielsenIQ/Circana, Flowers 8-K
Share price after 16-Oct-2026 (62.69, 64.70)	[unverified]	Context only; reference price stays Ps 58.60

Sources

- Model of record: `BIMBOA_statements_2021-2030_v2_pivot_waccV2.xlsx` (sheets Valuacion, Assumptions, IS, Segments, BS, WACC_V2).
- 12-month target: test copy `analisis-dcf-2026-10-26/precio-objetivo/BIMBOA_statements_2021-2030_v2_pivot_waccV2_TP12m.xlsx`, sheet Valuacion_12m.
- Grupo Bimbo, 3Q26 results release, 22-Oct-2026 (`filings/quarterly/`).
- Grupo Bimbo 3Q26 earnings call, 22-Oct-2026, team transcript (`raw/bimbo-3q26-earnings-call-2026-10-22-team-transcript.txt`), timestamps cited.
- Project wiki: `bimbo-north-america-turnaround-evidence` , `bimbo-governance-and-ownership` , `ciq-sell-side-sentiment-facts` .
- Grupo Bimbo Annual Report 2025 (RA25) and audited financial statements 2025 (EEFF25), as cited in the V2 and the wiki.

Supersedes the three drafts: *Bought growth, borrowed margin* (v3), *HOLD centred on the CEO* and *US HOLD single document*.